



APURVA SHETH, AHMEDABAD SHARE MARKET INVESTOR
PORTFOLIO: Petrochemicals, telecom, power, banking and finance
INVESTMENT: Rs 10 lakh
THE INDEX WHEN HE INVESTED: 13,000
LOSS: Rs 4 lakh
WHAT DID HE LOSE MONEY IN?: Reliance Petroleum, Neyveli Lignite, JP Hydro, Reliance Communications, ICICI Bank, Reliance Natural Resources
MODE OF INVESTMENT: Broker



ANKUR WARIKOO, DELHI
MANAGEMENT CONSULTANT
PORTFOLIO: Oil and gas, real estate and infrastructure
INVESTMENT: Rs 7 lakh
THE INDEX WHEN HE INVESTED: 13,000
LOSS: Rs 1.5 lakh
WHAT DID HE LOSE MONEY IN?: RPL, DLF and Lanco. Net portfolio fell by over 40 per cent.
MODE OF INVESTMENT: Online trading

STREET HUMOUR

SMS

BULL TO BEAR WHEN
 SENSEX TOUCHED 21,000
'Power on, India on'
BEAR TO BULL AT 17,000
 POINTS OF SENSEX
'Power off, Sensex off'

BULL TO BEAR WHEN
 SENSEX TOUCHED 21,000
'Taare Zamin Par'
BEAR TO BULL AT 16,000
 POINTS OF SENSEX
'Saare Zamin Par'

higher valuation, they needed to expand retail clientele and as a result, they wooed investors with funding. If a retail investor wanted to invest Rs 1,000, brokerages enticed them to use that as seed capital and borrow another Rs 5,000. This enabled the brokerage to show higher trade and revenues for better valuation. And many of those who went public benefited from it. The idea works when the market rises, but when it falls, the investor has to fork out extra margin money.

For instance, a 20-per cent fall in the Rs 5,000 invested means the investor has to fork out Rs 800. Obviously that is beyond his capability and as the brokerage is forced to sell the shares, the fall is converted into a crash. That is precisely what happened. It is again a choice the investor exercises, and those who didn't were hurt. Anurag Agarwal, an Agra-based businessman, who lost in punter stocks like Arvind Mills and LML believes it will call for "immense guts to enter the market at such volatile levels". Others though are not deterred. A day after the crash, SMSes from brokerages like Vimal Stocks flooded Mumbai's mobile phone users with sugges-

tions to buy even as most analysts advised caution. Similarly, mutual funds were encouraged to offer 15-day windows for people with liquid cash. Non banking finance companies (NBFCs) now float paper specially for mutual funds and use their money to fund investors and speculators.

None of this was hidden from investors. Today anyone with a demat account and PAN number is worthy of speculators' attention. In recent public issues, for instance, operators paid account holders Rs 9,000 just to use their account for filing applications to push oversubscription. Many who lost a lifetime's earnings were participants, not mere spectators, in the race. V.R. Srinivasan, CEO, BRIC Securities, puts it succinctly, "Stock market valuation is normally a blend of reality and expectations but when it becomes a market for valuation of greed, the market must crash." Harsh words, but it was greed that

AJAY BAGGA, CEO, LOTUS ASSET MANAGEMENT

"At 8.5%, India will be among the fastest growing economies. But as 23% of market cap is with FIIs, liquidity is a concern."

